CH – 01
ACCOUNTING BASICS

(4)

BUSINESS TRANSACTIONS

BUSINESS TRANSACTIONS

- Definition of business/financial transactions
- Classification of business transactions

(1)

DEFINITION OF BUSINESS TRANSACTIONS

BUSINESS TRANSACTION

Any financial interaction between business and its:			
customers,	suppliers,	Owners; or	any other party.

EXAMPLES OF BUSINESS TRANSACTION

- Sale of goods;
- Purchase of goods;
- Payment of salaries
- Payment of utility bills
- Loan from bank;
- Investment of owner into business. Etc.

EXCEPTIONS TO BUSINESS TRANSACTION

Following activities are not considered as business transactions:	
Non financial activities of the business; and	Personal activities of the owner.

(2)

CLASSIFICATION OF BUSINESS TRANSACTIONS

CLASSIFICATION OF TRANSACTIONS

- Simple or complex transactions;
- One – off or ongoing transactions;
- Capital or revenue transactions

SIMPLE & COMPLEX TRANSACTIONS

SIMPLE TRANSACTIONS

Simple transactions may include cash transactions including:

Selling goods for cash	Buying goods for cash;	Payment of salaries	Payment of utility bills

COMPLEX TRANSACTIONS

Complex transactions may include:		
Selling goods of credit	Buying goods on credit	Lease of assets etc.

ONE – OFF AND ONGOING TRANSACTIONS

ONE - OFF TRANSACTIONS

One – off transactions might occur on single occasion and may include:

Investment by owners;	Annual subscriptions	Purchase of property etc.

ONGOING TRANSACTIONS

These are transactions which are occurred on regular basis and may include:

Sale of goods;	Buying of goods;	Payment of salaries etc.

CAPITAL & REVENUE TRANSACTIONS

CAPITAL TRANSACTIONS

Capital transactions are those business dealings that affect the

long-term financial position of the business rather than its day-to-day operations.

CAPITAL TRANSACTIONS

Capital expenditures;

Capital receipts

REVENUE TRANSACTIONS

Revenue transactions are the **day-to-day business dealings** that relate to the **normal operations** of the business.

They do not **create or improve long-term assets** but are necessary to keep the business running.

REVENUE TRANSACTIONS

Revenue expenditures;

Revenue receipts

CAPITAL EXPENDITURES

(1)

Capital expenditures are the purchase of **non – current assets;**

EXAMPLES OF NON CURRENT ASSETS

- Land & Building
- Motor Vehicles
- Furniture
- Office Equipment
- Plant & Machinery

(2)

Any cost directly and necessarily incurred to bring the non current asset into its working condition.

EXAMPLES OF DIRECTLY ATTRIBUTABLE COST

- Shipping cost
- Installation cost
- Testing cost
- Legal cost
- Import duties and taxes. etc.

(3)

- Any subsequent **improvement cost** incurred on non – current assets.

SUBSEQUENT IMPROVEMENT COST

Any cost incurred to improve the asset's:

- Useful life
- Capacity
- Efficiency
- Production cost;
- Production quality etc.

(4)

Any subsequent **major part** (having useful life of more than one year) replacements of non – current assets.

EXAMPLES OF MAJOR PARTS REPLACEMENTS

Replacement of engine of a motor vehicle

Replacement of lift in a building

Replacement of air conditioning system of a building etc.

Revenue Expenditures

(1)

Any expenditure incurred to operate the normal course of business.

BUSINESS OPERATING EXPENSES

- Rent expense
- Wages & salaries
- Utility expenses
- Insurance expenses
- Traveling Expense etc.

(2)

Any expenditure incurred to operate the non current assets

EXAMPLES OF NCA'S OPERATIONAL COST

- Fuel expenses
- Salaries of operating staff
- Electricity expenses
- Taxes i.e., property tax
- Staff trainings

(3)

Any expenditure incurred to maintain the non current assets

MAINTENANCE COST

Any cost incurred to maintain the asset's:

- Useful life
- Capacity
- Efficiency
- Production cost;
- Production quality etc.

EXAMPLES OF NCA'S MAINTENANCE COST

Repair cost	Overhauling cost
Service cost	Repaint or whitewash cost etc.

(4)

Any subsequent **minor part** (having useful life of upto one year) replacements of non – current assets.

EXAMPLES OF MINOR PART REPLACEMENT

Light bulb replacements;

Replacement of tyers of motor vehicle

Replacement of oil, air filter;

Replacement of break pads.

Replacement of door handles or locks etc.

CAPITAL RECEIPTS

(1)

Any amount invested by the owners into the business.

(2)

Amount received from sale of non current assets

(3)

Amount received from loans.

REVENUE RECEIPTS

(1)

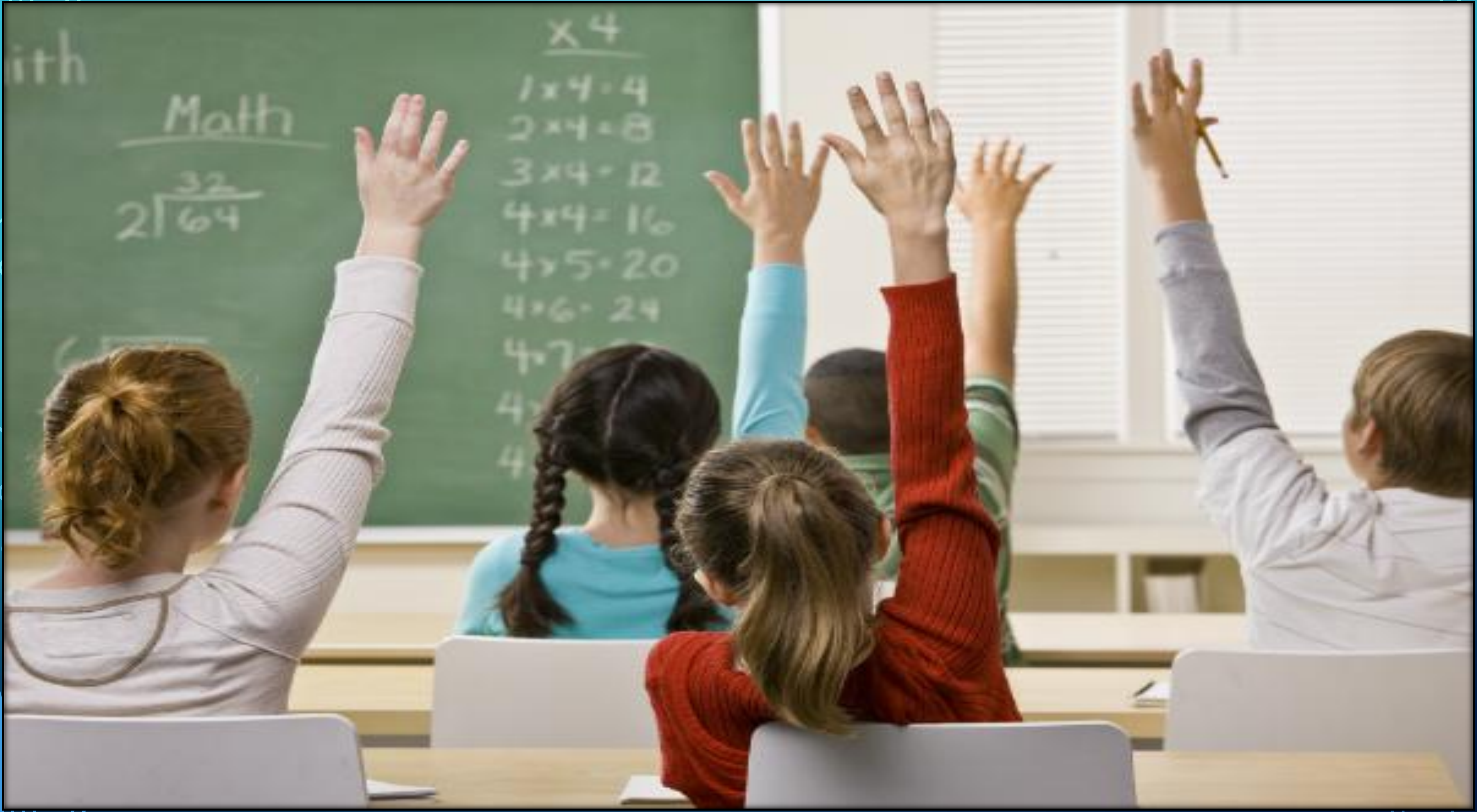
Amount received from sale of goods.

(2)

Amount received from rendering of services.

(3)

Interest, rental or dividend income received from the investments held by the business.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